

large capital outlays, weighs very heavily as an explanation for the failure of the recent recovery to reach full employment.”⁵

Neither Hansen nor his readers had any way of knowing that a baby boom was around the corner. Nothing could have seemed more unlikely to a world preoccupied with a new war in Europe and the evident decline and fall of capitalism. Certainly, Hansen’s ideas must have struck a chord with the chronically underemployed brokers and traders in lower Manhattan. As a business, the New York Stock Exchange was running at a steady loss. From 1933, the year in which it began to report its financial results, through 1940, the Big Board recorded a profit in only one year, 1935 (and a nominal one, at that). When an assistant professor of economics at Brown University, Chelcie C. Bosland, brought forth a book in 1937 entitled *The Common Stock Theory of Investment*, he remarked as if he were repeating a commonplace that the American economy had peaked two decades earlier at about the time of what was not yet called World War I. The professor added, quoting unnamed authorities, that American population growth could be expected to stop in its tracks by 1975.⁶ Small wonder that Graham was to write that the acid test of a bond issuer was its capacity to meet its obligations not in a time of middling prosperity but in a depression (a test some 20% of today’s largest 3,000 publicly traded companies would not come close to passing; indeed, according to Bloomberg, they failed to cover interest expense from operating cash flow even in the non-depression year of 2022).⁷ Altogether, an investor in those days was well advised to keep up his guard. “The combination of a record high level for bonds,”

⁵ James Grant, *The Trouble with Prosperity* (New York: Random House, 1996), p. 84.

⁶ Chelcie C. Bosland, *The Common Stock Theory of Investment* (New York: Ronald Press, 1937), p. 74.

⁷ Bloomberg News, “Zombie Firms Face Slow Death in the US as Easy-Credit Era Ends,” May 31, 2022.